RATING RATIONALE

05 Nov 2025

IFCI Limited

Brickwork Ratings reaffirms the rating for the Non Convertible Debentures/Bonds, Proposed NCD and Proposed Commercial Paper aggregating to Rs 4271.89 Crs of IFCI Ltd.

Particulars:

Instruments**	Amount (₹ Cr)		Tenure	Rating#	
	Previous	Present		Previous (07 Nov 2024)	Present
Non Convertible Debentures/Bonds	5133.48	**3571.89**	Long Term	BWR B+/Negative /Reaffirmation	**BWR B+/Negative /Reaffirmation**
Proposed NCDs	200	**200**	Long Term	BWR B+/Negative /Reaffirmation	**BWR B+/Negative /Reaffirmation**
Commercial paper (Proposed)	500	**500**	Short Term	BWR A4 /Reaffirmation	**BWR A4 /Reaffirmation**
Total	5833.48	**4271.89**	**Rupees Four Thousand Two Hundred Seventy One Crores and Eighty Nine Lakhs Only**		

**Details of NCD/Bonds are provided in Annexure II
#Please refer to BWR website **www.brickworkratings.com**/ for definition of the ratings
Note: reduction in rated amount is on account of the redemption of NCDs/ bonds, as confirmed by the Debenture trustee

RATING ACTION/OUTLOOK: REAFFIRMATION/NEGATIVE

Brickwork Ratings (BWR) has reaffirmed the rating of Non-Convertible Debentures/Bonds, Proposed NCDs, and Proposed Commercial paper of IFCI Ltd. (IFCI or "the Company") as tabulated above. BWR has principally relied on audited financials up to FY25, unaudited financial statements for the quarter year ended June 2025, publicly available information and information/clarifications provided by the company.

The reaffirmation of the rating continues to factor in the majority ownership of the Government of India (GoI) at 72.57% as at 30 Sept 2025 and its continued support in the form of periodic funds infusion. During FY23, FY 24 and FY25, the GOI infused Rs. 500 Crs in each of these financial years. The Company's loan book portfolio continues to decrease during the FY25, with the recoveries / write offs and no fresh sanctions/disbursements due to capital limitations. The revenue stream currently however is supported by the advisory services and dividend income. Generation of adequate cash flows to meet the timely servicing of debt and coupon obligations are monitorable, and is dependent on the funding support from the Government of India and recoveries from its existing weaker book. For FY25, the company made recoveries of ~Rs.800 Crs.

The negative outlook factors in the continuing weak asset quality, with the Gross NPA ratios remaining at 96% levels as on 30th June 2025. While the GNPA on absolute levels reduced from Rs.4616 Crs as on 31 March 2024 to Rs.3694 Crs as on 31 March 2025 on account of recoveries, there was also degrowth in the loan book portfolio from Rs 5097 Crs as on 31 March 2024 to Rs. 3848 Crs as on 31 March 2025. The company's capital position continues to remain severely constrained, with Capital to Risk-Weighted Assets Ratio (CRAR) of negative 21.85% as on 30 June 2025, though improved from negative 48% as of 31 March 2024 and negative 23.04% as of 31 March 2025, as against the minimum regulatory requirement of 15%.
The company's net profit for FY25 was Rs. 44 Crs (FY24: Rs. 128 Crs) on account of reversal of provision on stage 3 assets due to stronger recovery and healthy non interest income. The lending activities of the Company remain halted due to its capital limitations. Although there is operating income and generated profit after tax, BWR notes the weak asset quality and negative CRAR of the company as the key monitorable.

BWR notes the company's ongoing consolidation and merger exercise of its group entities. IFCI has appointed a financial advisor to assist in evaluating and implementing the consolidation plan. And, the process is currently pending approval from the Government of India. During discussions with the Company, it was indicated that further clarity on the consolidation process, including the roadmap and timelines, would emerge once the requisite approval from the Government of India is received. The proposed restructuring is likely to transform IFCI's operational structure, financial flexibility, and overall business profile, however will depend on the final contours of the consolidation. Given the evolving nature and the nascent stage of the proposed merger/consolidation, BWR will monitor the progress of the approval process, the final structure of the consolidation, and the likelihood of any potential impact on IFCI's financial position, governance structure, and business operations, for any appropriate rating review. With the current overall financial risk profile of the Company remaining the same, reflected through nil business growth, declining loan book and weak asset quality, declining earnings and stretched liquidity dependent on GOI's funding support, and negative CRAR, BWR has reaffirmed the rating for the various debt issues of the Company.

KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED
The Company has rated various instruments in the nature of bonds and subordinate bonds, each of these categories has a different issue date, maturity date and coupon rate. The interest rates are fixed. Since the last rating, the company has redeemed NCDs amounting to Rs. 1598.35 Crs. Details of rated issues are provided in Annexure II.

KEY RATING DRIVERS:

CREDIT STRENGTHS:-
Ownership and support from Government of India: IFCI Ltd is a Government of India (GoI)-promoted entity, with the GoI holding a majority stake of 72.57% as on September 30, 2025. The Government has been extending timely financial and capital support to IFCI through budgetary allocations, enabling the company to meet its debt obligations despite weak internal accruals. The GoI infused equity capital of Rs. 500 crore each in FY23, FY24, and FY25,

reflecting its continued commitment to supporting the institution. Consequently, the company's net worth improved from Rs. 1,214 Crs as on March 31, 2024, to Rs. 1,735 Crs as on March 31, 2025, and further to Rs. 1,742 Crs as on June 30, 2025, primarily driven by these infusions.
Being a majority-owned government entity, IFCI's credit profile continues to derive significant strength from the availability of regular and timely support from the GoI in the form of capital infusions, facilitation of resource mobilization, and regulatory backing. The continued financial and strategic support from the GoI remains a key rating sensitivity.

Alternate source of revenues: The company has shifted its focus from lending activities to fee-based services. Besides managing the Sugar Development Fund (SDF), the company is also managing and monitoring the implementation of the Production-Linked Incentives (PLI) schemes of the GoI. The company expects the fee-based business as a steady source of revenue.

CREDIT RISK:-
Persistent Weak Asset Quality: IFCI's asset quality continues to remain weak with Gross NPA (GNPA) and Net NPA (NNPA) ratios at 96% and 79.78% as of June 2025 respectively. Although the provision coverage ratio (PCR) has improved , a large proportion of the NPAs are under the National Company Law Tribunal (NCLT), and some are undergoing restructuring or resolution. BWR expects the earnings profile to continue to remain weak to the extent of haircut required on these weaker asset exposures and the consequent additional provisioning required. Going forward, the Company's ability to better the recoveries from the NPA's and improve the profitability shall be a rating monitorable.

Weak Capitalization structure with Negative CRAR: Despite the Government of India's equity infusions of Rs.500 Crs in both FY23, FY 24 and FY25, the company's CRAR remains negative as of 31 March 2025. Going forward, a substantial quantum of capital infusion to have healthy levels of CRAR above the regulatory requirement of 15% shall remain the rating sensitivity

Uncertain Profitability metrics: The company's total income declined slightly to Rs. 842 crore as on March 31, 2025, from Rs. 895 crore as on March 31, 2024. Although the operating income increased to Rs. 654 crore in FY 2024–25 from Rs. 575 crore in FY 2023–24, the company's income remains largely dependent on recoveries from written-off or weak accounts. The business model is now primarily focused on the recovery of stressed assets, resulting in lower income generation and subdued profitability. Notably, IFCI's net interest income has remained negative for the past three years.

ANALYTICAL APPROACH AND APPLICABLE RATING CRITERIA:**STANDALONE**
To arrive at its ratings, BWR has considered the standalone financials of IFCI Ltd. BWR has applied its rating methodology as detailed in the Rating Criteria (hyperlinks provided at the end of this rationale).

RATING SENSITIVITIES

The company's ability to manage asset quality and profitability while maintaining liquidity, improving the overall financial risk profile and raising adequate capital to strengthen the capital structure will be key rating sensitivities.

Positive :

- Final approval from GoI and implementation of the proposed consolidation/merger plan, leading to improved group synergies, stronger capital structure, and enhanced overall business risk profile.
- Demonstrated and timely support from the Government of India in the form of capital infusion, which strengthen IFCI's capitalization position to comply with regulatory guidelines of CRAR at 15% above

Negative :

- The rating may be downgraded upon further weakening of the liquidity position and deterioration in the overall financial risk profile of the company
- Absence or delay in timely support from the Government of India, which could adversely impact IFCI's financial flexibility.

LIQUIDITY INDICATORS: STRETCHED

LCR as on 30 June 2025 was 175% as against the regulatory requirement of minimum 100%. IFCI Ltd has repayment obligations of Rs.1005.88 Crs from 01 Oct 2025 to 30 Sep 2026 as against the available cash and equivalents (unencumbered) of Rs 704 Crs as on 30 Sep 2025. During FY25, GOI funds of Rs. 500 Crs were received by the company. The Company also made recoveries of Rs. 800 Crs during FY25. Upon meeting the repayment obligations, the surplus funds are mainly deployed in liquid mutual funds, government securities(G-Sec/Treasury Bills), commercial papers and other money market instruments as per the Board approved policy. While there were no cumulative negative mismatches in the buckets upto 1 years as per the ALM of 30 Sep 2025, the subsequent mismatches shall be dependent on the recoveries and funding support from GOI.

COMPANY's PROFILE

The GoI established Industrial Finance Corporation of India (IFCI) on July 1, 1948 as a development financial institution (a statutory corporation) to cater to the long-term financial needs of the industrial sector. It was the first Development Financial Institution established by the Indian government after independence in 1948. The constitution of IFCI was changed in 1993 to a company under the Indian Companies Act, 1956 from a statutory corporation. Its name was subsequently changed to IFCI Limited with effect from October 1999. It provides medium- and long-term financial assistance to large-scale industrial undertakings. IFCI is listed on both the BSE and NSE, and the GoI owns 72.57% shares in the company as of 30 Sept 2025.

KEY FINANCIAL INDICATORS: Standalone

Parameters	Units	FY23	FY24	FY25	Q1FY26
		(Audited)	(Audited)	(Audited)	(UnAudited)
Total Income	Rs in Crs	545	895	842	181
Net Profit	Rs in Crs	-288	129	44	7
Net Worth	Rs in Crs	626	1214	1735	1742
Gearing	Times	9.28	4.49	2.18	2.18
Total CRAR	%	-71	-48	-23.05	-21.85
Loan Book	Rs in Crs	6441	5097	3848	3848
Gross NPA ratio	%	82	89	95.98	96.05
Net NPA ratio	%	76	84	83.55	79.78

A - Audited
UA - Unaudited
NA - Not Available

NON-COOPERATION WITH PREVIOUS RATING AGENCY IF ANY: There is no outstanding Rating under Non-Cooperation from other CRAs

RATING HISTORY FOR THE PREVIOUS THREE YEARS [including withdrawal & suspended]

Sl. No.	Name of Facility/ Instrument	Current Rating (2025)			Rating History for the past 3 years		
		Type	Amount (Rs. Crs)	Rating	2024 (07 Nov 2024)	2023 (10 Nov 2023)	2022 (04 Oct 2022)
1	Long term Debt/Bonds	Long Term	3571.89	BWR B+/ Negative /Reaffirmation	BWR B+/ Negative (Reaffirmed)	BWR B+/ Negative (Reaffirmed)	BWR B+/ Negative (Downgraded)
2	Proposed NCD	Long Term	200.00	BWR B+/ Negative /Reaffirmation	BWR B+/ Negative (Reaffirmed)	BWR B+/ Negative (Reaffirmed)	BWR B+/ Negative (Downgraded)
3	Proposed Commercial Paper	Short Term	500.00	BWR A4 /Reaffirmation	BWR A4 (Reaffirmed)	BWR A4 (Reaffirmed)	BWR A4 (Downgraded)
	TOTAL		**4271.89**	**Rupees Four Thousand Two Hundred Seventy One Crores and Eighty Nine Lakhs only**			

Note: NCDs amounting to Rs. 1598.35 Crs have been redeemed since the last review

COMPLEXITY LEVELS OF THE INSTRUMENTS

Non Convertible Debentures/ Bonds - Simple
Commercial Paper - Simple

For more information, visit **www.brickworkratings.com/download/ComplexityLevels.pdf**

Hyperlink/Reference to applicable Criteria

- **General Criteria**
- **Approach to Financial Ratios**
- **Banks & Financial Institutions**
- **Rating based on government support**

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IFCI Limited

ANNEXURE I
Details of Bank Loan Facilities rated by BWR:

Sr. No	Name of the bank/lender	Type of facilities	Long term (Rs. Crs)	Short term (Rs. Crs)	Total (Rs. Crs)	Complexity of the Instrument*
NA	NA	NA	NA	NA	NA	NA

***For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf**

ANNEXURE II
INSTRUMENT (NCD/Bonds/CP/FDs) DETAILS :

S. No	Instrument	Issue Date	Current O/s (RS. in Crs)	Coupon Rate (%)	Maturity Date	ISIN	Complexity of the Instrument*
1	BONDS	04/05/2010	250	9.7	04/05/2030	INE039A09LL7	Simple
2	BONDS	18/05/2010	250	9.7	18/05/2030	INE039A09LM5	Simple
3	BONDS	13/07/2010	250	9.75	13/07/2030	INE039A09MC4	Simple
4	BONDS	16/07/2010	500	9.75	16/07/2030	INE039A09MD2	Simple
5	BONDS	29/10/2010	250	9.98	29/10/2030	INE039A09MN1	Simple
6	BONDS	26/04/2013	350	9.75	26/04/2028	INE039A09PR5	Simple
7	BONDS	07/07/2010	26.25	9.75	07/07/2040	INE039A09LS2	Simple
8	BONDS	07/07/2010	28.80	9.75	07/07/2039	INE039A09LT0	Simple
9	BONDS	07/07/2010	31.61	9.75	07/07/2038	INE039A09LU8	Simple
10	BONDS	07/07/2010	34.70	9.75	07/07/2037	INE039A09LV6	Simple
11	BONDS	07/07/2010	38.09	9.75	07/07/2036	INE039A09LW4	Simple
12	BONDS	07/07/2010	41.81	9.75	07/07/2035	INE039A09LX2	Simple
13	BONDS	07/07/2010	45.88	9.75	07/07/2034	INE039A09LY0	Simple
14	BONDS	07/07/2010	50.36	9.75	07/07/2033	INE039A09LZ7	Simple
15	BONDS	07/07/2010	55.27	9.75	07/07/2032	INE039A09MA8	Simple
16	BONDS	07/07/2010	60.66	9.75	07/07/2031	INE039A09MB6	Simple
17	BONDS	12/12/2011	7.69	8.75	12/12/2026	INE039A09NZ3	Simple
18	BONDS	31/03/2012	17.27	8.72	31/03/2027	INE039A09OW8	Simple
19	BONDS	31/03/2012	5.83	8.72	31/03/2027	INE039A09OX6	Simple

20	Subordinate Bonds	01/08/2011	403.59	10.75	01/08/2026	INE039A09NL3	Simple
21	Subordinate Bonds	01/08/2011	64.96	10.75	01/08/2026	INE039A09NM1	Simple
22	Subordinate Bonds	31/10/2011	102.49	10.75	31/10/2026	INE039A09NW0	Simple
23	Subordinated Bonds	28/02/2012	123.63	10.7	28/02/2027	INE039A09OM9	Simple
24	Subordinated Bonds	18/09/2012	50	9.98	18/09/2037	INE039A09PD5	Simple
25	BONDS	31/03/2014	145	8.76	31/03/2029	INE039A09PU9	Simple
26	BONDS	05/11/2012	106.88	9.9	05/11/2027	INE039A09PN4	Simple
27	BONDS	12/12/2011	2.6	8.75	12/12/2026	INE039A09OA4	Simple
28	BONDS	15/02/2012	30.99	9.16	15/02/2027	INE039A09OG1	Simple
29	BONDS	15/02/2012	9.03	9.16	15/02/2027	INE039A09OH9	Simple
30	BONDS	05/11/2012	106.88	9.9	05/11/2032	INE039A09PO2	Simple
31	BONDS	05/11/2012	106.88	9.9	05/11/2037	INE039A09PP9	Simple
32	BONDS	08/10/2012	19.59	10.12	08/10/2027	INE039A09PI4	Simple
33	BONDS	08/10/2012	5.15	10.1	08/10/2027	INE039A09PJ2	Simple
34	Proposed NCD	-	500	-	-	-	Simple
35	Proposed CP	-	200	-	-	-	Simple

*** For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf**

Annexure II -
Details of Redeemed NCDs since last review of Nov 2024

S. No	Instrument	Issue Date	Previous Rated Amount Rs Crs	Current O/s (Rs. in Crs)	Coupon Rate (%)	Maturity Date	ISIN	Complexity of the Instrument*
1	BONDS	25/01/2010	200.00	0	9.75	25/01/2025	INE039A09LC6	Simple
2	BONDS	05/03/2010	200.00	0	9.55	05/03/2025	INE039A09LG7	Simple
3	BONDS	13/04/2010	225.00	0	9.55	13/04/2025	INE039A09LK9	Simple
4	NCD	01/12/2014	606.17	0	9.9	01/12/2024	INE039A07801	Simple
5	NCD	01/12/2014	41.82	0	9.9	01/12/2024	INE039A07819	Simple
6	NCD	13/02/2015	302.81	0	9.4	13/02/2025	INE039A07843	Simple

7	NCD	13/02/2015	22.55	0	9.4	13/02/2025	INE039A07850	Simple
	Total		1598.35					

Note: The aforesaid NCDs amounting to Rs. 1598.35 Crs have been redeemed since the last rating review

ANNEXURE- III

Name of Entity	% Ownership	Extent of Consolidation	Rationale for Consolidation
NA	NA	NA	NA

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